

School professors describe Vanguard as one of only two organizations (the other was Wal-Mart) whose “remarkable accomplishments . . . were based on value profit chain concepts *from the onset of their development* . . . [and] have risen to leadership positions in their respective industries.”

The authors’ value profit chain is a concept that includes a series of “interrelated phenomena: customer loyalty and commitment, [driven by] high levels of value compared to competition; value created by satisfied, committed, loyal, and productive employees; employee satisfaction [based on] the ‘fairness’ of management, the opportunity for personal growth on the job, and the capability of employees to deliver service to customers. . . . When organizations get the elements of the value profit chain right, the results”—citing Vanguard’s superior returns, low costs, and high shareholder satisfaction—“are dramatic.”

The Gale of Creative Destruction

I’m sure that our competitors—even the most successful of them—look with a sort of detached bemusement and skepticism at our emergence as one of the fund industry’s largest and most respected leaders; at our unique corporate structure and our focus on holding costs to a minimum (in an industry that hardly strives for that goal); and at our missionary zeal, our contrariness, and our feistiness. But we have dared to be different. We have strived to build an enterprise in which trust, stewardship, and professionalism are woven into the very fabric of the place—indeed, even into the name itself—and it seems to be working just fine. Most of all, I did my best to build a company that would endure, an enterprise that would last for at least a century. (We’re not that far off. Wellington Fund celebrates its 80th birthday this very year. I’m sure that, from his perch in Heaven, Walter Morgan, Wellington’s founder and my great mentor, will be accepting congratulations. Such a milestone is no mean testimonial!)

Few corporations indeed have ever met the century test. Witness, for example, the changes in the Fortune 500 (an annual list of